FREE CHEAT SHEET

Money words, made simple

30 words you'll meet on a payslip, a SIP statement or a fund factsheet. Each one in a line or two. Keep it handy.

On your payslip

Gross salary. Your total pay before deductions.

Net salary. Your take-home pay, after deductions.

EPF. Employees' Provident Fund. Part of your basic pay goes into a retirement savings account, and your employer adds money too.

TDS. Tax Deducted at Source. Income tax your employer takes from your salary before paying you.

Old and new tax regime. Two ways to work out income tax. The new one is the default: lower rates, fewer deductions.

80C. Lets you deduct some savings and payments from taxable income, up to ₹1.5 lakh a year. Old regime only.

On your SIP statement

SIP. Systematic Investment Plan. A fixed amount goes into a mutual fund at regular times, often monthly.

AMC. Asset Management Company: the fund house that runs the mutual fund.

Folio number. Your account number with the AMC.

NAV. Net Asset Value. The price of one unit of the fund, worked out at the end of each business day.

Units. What your money buys. Amount put in ÷ NAV = number of units.

Current value. Your units × today's NAV.

Absolute return. Total growth or fall, as a %, however long it took.

XIRR. Growth as a yearly rate, allowing for money going in on different dates, as with a SIP.

Redemption. Selling your units to take money out.

In a fund factsheet

Expense ratio. The yearly fee for running the fund, as a % of your money. It comes out of the fund, so you never see a bill.

Direct and regular plan. Two versions of the same fund. A regular plan pays a distributor's commission, so its yearly fee is higher.

Exit load. A fee some funds charge if you take money out before a set time.

Lock-in. A period when you can't take your money out at all.

Equity and debt. Equity means owning shares in companies. Debt means lending money, for example through bonds.

Index fund. A fund that copies a market index, instead of a manager choosing shares.

Benchmark. The index a fund measures itself against.

AUM. Assets Under Management: the total money the fund looks after.

Riskometer. The dial on fund documents showing how risky the fund is, from Low to Very High.

Everyday investing words

Inflation. Prices rising over time, so the same money buys less.

Compounding. Growth on top of earlier growth. It needs time to show.

Diversification. Spreading money across different things, so one fall hurts less.

KYC. Know Your Customer: a one-time identity check, with your PAN and address, before you can invest.

Demat account. An account that holds your shares electronically.

Capital gains. The profit when you sell something for more than you paid. It can be taxed.

Want these explained live, with time for your questions?
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